

The background features abstract geometric shapes in various shades of blue. A large, dark blue triangle points towards the top-left corner. In the center-right, there is a light blue parallelogram and a smaller, tilted rectangle above it. At the bottom right, there is a dark blue trapezoidal shape. The overall design is modern and minimalist.

SAMSUNG

2021 - 2023

Management Report

Contents

Title page

Executive summary

Introduction

Description of metrics

Justification of metrics

Conclusion

Recommendation

References

Executive Summary

Due to the fast-growing marketing dynamics in this digital world, most organizations utilize marketing metrics to track and provide an in-depth analysis of the effectiveness of their campaigns, as this is pertinent to customer purchase decisions. This is quite essential because in this current digital environment, the prosperity of organizations relies on efficient marketing strategies, and for Samsung, a prominent global leader in technology, the assessment of marketing strategies is rooted in fundamental performance metrics. Samsung adopts a range of metrics, including return on investment (ROI), unit sales, brand value, and investment in research and development, in conjunction with social media marketing metrics. These metrics provide an excellent means of expanding their customer base, increasing brand recognition, and reaching their target audience with content directly. Continuous interaction with these key performance indicators has set Samsung apart from its competitors in terms of market share and brand value. Through the dataset obtained from different sources, calculations, pivot tables, and charts were explored to create an interactive dashboard for Samsung.

The result of the dashboard shows that the consistent investment (total of \$54,093,366) in research and development from 2021 to the 1st quarter of 2023 boosted the organization's return on investment by 34% and their profit margin by 19.5%. Effective investment in R&D has put them in the top 5 of the best organizations in smartphone production, with 82% market share in the smartphone business. Not only has research boosted their smartphone sales, but it has also increased their brand value globally. To also understand their customers well, Samsung has fine-tuned their social media platforms to be customer-friendly, which has therefore increased their engagement in terms of the high number of clicks, which has improved their impression and thereby reduced their cost per click.

Samsung prioritized online services more extensively than usual from 2021 to 2023 and currently utilizes an effective strategy for marketing on social media. The corporation consistently channels its R&D effort to introduce innovative merchandise to meet the evolving demands and preferences of consumers.

1.0 Introduction

In the contemporary era dominated by digital technologies, every organization's expansion and financial success must gauge the efficacy of its marketing endeavours. In the case of Samsung, a prominent global technology corporation, the assessment of its marketing initiatives heavily relies on the utilization of potent performance indicators such as market share, research and development investment, profit and revenue margin, supply chain efficiency, and brand value. Samsung has established its reputation as a prominent technology corporation by employing a combination of ingenuity, diversification of products, and efficacious marketing campaigns. The company heavily relies on the effectiveness of its marketing strategies to demonstrate its advanced products, cultivate customer loyalty, and adjust to changing consumer preferences. Through the continuous introduction of innovative and enhanced products, Samsung has successfully gained a significant market share in various sectors, including smartphones, televisions, household appliances, and more. Samsung's achievements can also be attributed to the triumph of the tactics and platforms employed in its marketing and advertising endeavours (Putri et al., 2020).

One of the significant marketing strategies used by Samsung is digital marketing, which encompasses the use of social media marketing, search engine optimization, and video and email marketing. Among all, Samsung combines social media marketing metrics such as clicks, impressions, and cost per impression with their performance indicators to measure their products' engagement with customers on all their social media platforms. In a 2011 research study conducted by Bimantoro and Herawati, it was discovered that the frequency of observing Samsung's floating advertisements on various social media platforms had a substantial impact on the degree of brand awareness among their customers. Similarly, Lin et al. (2015) discovered that the positioning of social media advertisements has an impact on users' memory and their ability to recognize brands. This is because social media marketing serves as a channel for communication, sharing, and active interaction with customers to foster brand recognition that has the potential to generate an increase in sales. By strategically leveraging various social media marketing strategies to maintain constant communication with its valued customers, the Samsung smartphone brand has successfully obtained a significant portion of the global market (Vu et al., 2021). This indicator has enabled Samsung to expand its presence on social media. It has also enabled Samsung to make efforts to offer customers and advocates of the brand the opportunity to disseminate their encounters with Samsung to individuals within their immediate social network, including friends and family members, thereby making the brand excel in its efforts to promote its products and captivate its target audience.

1.1 Objectives:

The evaluation of Samsung's internet marketing strategy is conducted based on the following objectives:

- i. To examine Samsung's product performance and innovation
- ii. To investigate Samsung's market trends
- iii. To assess Samsung's overall market performance

2.0 Description of Metrics

The study utilized datasets from different sources, such as the Samsung website, site checker, Samsung business report, and Statista, to ensure that Samsung's important marketing metrics were included. This was merged to create calculations, pivot tables, and pivot charts for each metric in preparation for the dashboard. These metrics are regarded as the key performance indicators that upper-level executives employ to monitor and evaluate the advancement, particularly the marketing performance, of an enterprise or organizational unit (The Marketing Science Institute, 2004). The utilization of these metrics has become an indispensable means for Samsung to assess the efficacy of its marketing strategies, the appropriate distribution of resources, and formulating data-based determinations to accomplish its business goals.

In other words, by meticulously monitoring and evaluating these metrics, this dashboard functions as a navigational tool, directing Samsung towards successful initiatives, refined tactics, and ultimately, dominance in the market as a whole, thereby offering a comprehensive perspective of Samsung's marketing achievements. Hence, the metrics utilized in this report consist of a diverse range, spanning from conventional financial indicators such as revenue and profit margins to modern digital metrics such as clicks, impressions, and cost per impression, as explained below:

- i. Market share: this is a metric that measures the proportion of overall sales or revenue within a designated market that is acquired by a specific Samsung product. It is often employed to evaluate the market standing and product performance of Samsung.
- ii. Return on Investment (ROI): This is a financial metric that is a sub-category of the marketing metric. This metric is of paramount importance in evaluating the success of any marketing campaign. It serves as a means to gauge the effectiveness of a campaign by comparing the revenue generated to the associated costs. Additionally, it is also utilized as a method to assess the overall management of an organization. It is majorly relevant in ensuring the most advantageous allocation of the marketing budget across various activities, thereby guiding future expenditures.
- iii. Research and development investment: The measurement of research and development investment metrics is a significant performance indicator employed to evaluate the efficacy and influence of a corporation's investments in research and development endeavours within the framework of its comprehensive marketing plan. This metric aids in the evaluation of the extent to which R&D investment contributes to the company's goals, market positioning, and long-term expansion. It provides a valuable insight into the innovation and product development facets of Samsung's business.
- iv. Brand value: is a metric that measures the market's perception of Samsung products and the general stability of the company's brand. It is commonly denoted as a dynamic measure that mirrors the market's perception of the strength of the Samsung brand.
- v. Profit Margin: This serves as a critical indicator for assessing the financial well-being of a company and the efficacy of its operational activities. Through this metric, Samsung gains an understanding of how proficiently it transforms revenue into profit. It offers valuable insights for making strategic decisions and evaluating the efficacy of its marketing endeavours.
- vi. Unit Sold: This is a common metric used for assessing performance in the smartphone industry. Unit sales is employed to evaluate the overall sales of a particular product within a specified timeframe, thereby measuring the quantity of devices sold in a given period.

- Samsung employs this metric to ascertain the optimal price point for their smartphones, discerning whether these smartphones are experiencing financial strain or not.
- vii. Clicks: is a social media metric that refers to the number of times a user clicks on an advertisement or other piece of information to interact with it.
 - viii. Impression: this is the frequency with which a Samsung advertisement or post is exhibited on the screen of a user. This metric is employed to evaluate the extent of influence attained by a social media campaign.
 - ix. Cost per impression: This is utilized to quantify the expenditure incurred for every one thousand ad impressions on Samsung's diverse online platforms. This metric is used to show how successful Samsung's internet marketing initiatives have been.

3.0 Justification of Metrics

From the dashboard analysis, it was observed that there was a surge in the profit margin of Samsung from January to December, with December having the highest profit margin. The increase in Samsung's profit margin can be attributed to the amount of money invested in their research and development. As it was reported by the dashboard, it can be inferred that, as the research and development investment increases from the 2021–2023 1st quarter, the profit margin of Samsung consistently increases. Samsung experienced a significant decline in its profit margin, plummeting to a mere 41% in October as a result of a meagre increase of merely 4.7% in its semiconductor sales. Although there was a fluctuation in their unit of sales in 2022, using the unit of sales metric has helped Samsung consistently trace its sales position among the three leading smartphone suppliers worldwide, in conjunction with Xiaomi and Apple. The success in R&D also shows a significant reflection in their market share, with the smartphone having an 82% market share compared to other smartphone products. Thereby, their revenue increased from 18% (\$51684) in 2019 to 33% (\$95926) in 2022. This huge market share in smartphones was recorded based on the immense research and development investment. This is consistent with a study by Huang in 2022, where it was found that Samsung smartphones dominated the majority portion of the market share within the country for smartphones, with Xiaomi, Vivo, Apple, Huawei, and various other companies trailing behind. In other words, this has vindicated the fact that there is an improvement in Samsung's product performance and innovation based on the amount invested in research and development coupled with the significant increase in smart television market share. The achievement in their R&D is a direct result of possessing a competitive edge propelled by the exploration of innovation, leading Samsung to establish itself as a trailblazer in the realm of advancing technological advancements...

Has there been any change in Samsung market trends? Yes, with major investment in research, Samsung has consistently increased its return on investment over the years, even though its ROI dropped in December 2022. Improvements in Samsung products, such as smart televisions, have boosted their brand value by 12.1% compared to some other brands, such as Apple. Therefore, it placed Samsung in the top 10 most-rated brands globally for 2023 revenue. This fact could potentially be attributed to the superior standard of Samsung's electronic products, encompassing smartphones, televisions, tablets, and laptops. Combining social media marketing with their marketing strategy has successfully helped boost Samsung's overall market performance due to engagement on their social media platforms, which has helped increase their number of clicks by 9% and impressions by 4%, which in turn has helped cut their cost per impression by 2%, which means high effectiveness in the Samsung marketing campaign. This high

impression suggests a broad reach among their customers, and most Samsung advertisements are usually viewed by their customers. This has created an avenue for a long-term relationship between Samsung and its customers through the engagement of their social media platforms, thereby perpetuating the presence of the Samsung brand within the cognitive faculties of consumers and facilitating the cognizance of its existence.

4.0 Conclusion

Given the fact that Samsung is faced with stiff competition from one of the biggest brands, Apple, the company was still able to maneuver its way around increasing the value of its products in the market through a significant investment in research and development and social media marketing. For example, the introduction of the Galaxy Z Flip and the Galaxy Fold serve as two recent illustrations of Samsung's prominent innovative achievements. This R&D investment is in terms of an increase in revenue, unit sold, profit margin, market share, brand value, and return on investment. Social media marketing in terms of an increase in clicks and impressions and a reduction in cost per impression. If Samsung can continue with the pace of its R&D in the subsequent years, they are more likely to surpass its competitors in some major areas, especially in terms of brand value. This is mainly because the R&D function of Samsung exhibits a high level of sophistication and advancement, resulting in the company's emergence as one of the most pioneering enterprises globally.

5.0 Recommendation

Even though Samsung has been consistent in improving its products through the use of a variety of metrics, it is also pertinent for the company to implement the following to expand its market segment in other product areas:

- i. Samsung should work on its market segmentation in terms of consistent R&D investment in the television market and focus more on units sold for easy tracking.
- ii. Explore other ways, such as customer satisfaction, to improve their brand value to ensure dominance in the market.
- iii. More data is needed on some other crucial areas, like supply chain efficiency, which is tantamount to providing information on customer's perceptions of the brand and also reaching their target consumers.
- iv. Revamp and re-strategize their competitive plans and marketing campaign programs. For example, due to the revamp between 2003 and 2008, Samsung's global brand value increased by more than 200%.

References

- Bimantoro, F., & Herawati, F. A. (2011). Pengaruh Frekuensi Melihat Iklan Floating terhadap Tingkat Kesadaran Merek. *Jurnal ILMU KOMUNIKASI*, 8(2). <https://doi.org/10.24002/jik.v8i2.174>
- Huang, J. (2022). The Marketing Strategy of Samsung: Analysis Based on Consumer Behavior. In *BCP Business & Management MEEA* (Vol. 2022).
- Lin, L., Li, Y., & Wu, W. (2015). A Social Endorsing Mechanism for Target Advertisement Diffusion. *Information & Management*, 52(8), 982–997. <https://doi.org/10.1016/j.im.2015.07.004>
- Marketing Science Institute (2004), *Does Marketing Measure Up? Performance Metrics: Practices and Impacts* (London Business School, London, England).
- Vu, T., Quynh, T. T., Thi, V., Jönköping, P., Thu, T., Vu, Q., Phuong, T., & Minola, T. (2021). *The Impact of Social Media Marketing on Brand Loyalty Case Study of Samsung Smartphones in Vietnam Title: The Impact of Social Media Marketing on Brand Loyalty_ Case Study of Samsung Smartphones in Vietnam*.
- Putri, A. V., & . E. (2020). MARKETING AND ADVERTISING STRATEGY IN ACHIEVING THE TOP OF MIND (SAMSUNG BRAND CASE STUDY). *Profetik: Jurnal Komunikasi*, 13(2), 290. <https://doi.org/10.14421/pjk.v13i2.1935>